A comprehensive service-by-service examination is needed of budget provisions, service delivered and the right mode of delivering the benefit—in cash or kind, or by voucher. Broad estimates would suggest that most benefits delivered by the Central government can be restructured—with some phased over a long period—for efficient delivery.

There are quite a few subsidy schemes, like LPG subsidy to the non-poor, which have no real reason to exist. Such subsidies can be limited to the destitute and economically poor.

It is also quite reasonable to expect that the government can save over Rs 50,000 crore of expenditure from the non-food sector as well in a short time.

Indeed, redistribution reforms can yield an annual savings of about Rs 2 lakh crore.

Reforming Redistribution—Cash Benefit Schemes

Another reform in redistribution services is to deliver cash benefits from the household perspective, not the departmental perspective. All the cash benefits delivered today—PM-Kisan, payments to labour, scholarships and so on—can be pooled in three specific groups of funds: one for the destitute, another for the economically poor and the third for the economically vulnerable. Depending upon a conditionality framework (health status, number of children, type of dwelling, etc.), an appropriate cash transfer can be made to the concerned household per month.

This reform can be implemented quickly. It will serve poor households much better and save a lot of money, at least Rs 50,000 crore a year.

Augmenting Allocations for Public Goods and Services

Most ministries and departments concerned with providing public goods and services have relatively smaller allocations. This reflects the old